

SECURITIES AND EXCHANGE BOARD OF INDIA
Memorandum to the Board
Recommendations of Committee on Calibration of Fees of
SEBI

1. Objective

1.1. The objective of this Board Memorandum is to place before the Board the proposal for approval, for carrying out changes in the fees structures for various intermediaries, issuers and SROs as recommended by the Committee on Calibration of Fees of SEBI vide its report dated January 17, 2019 (**Annexure V**).

2. Background

2.1. Securities and Exchange Board of India (SEBI) has been calibrating its fee structure from time to time so as to keep a balance between the financial resources required to ensure regulatory efficiency and maintaining reasonableness of fees. The guiding principle has been to meet the revenue expenditure from the fees collected annually.

2.2. As per the recommendation of the V. K. Chopra Committee, in the year 2007-2008, SEBI had substantially decreased the fees for various market participants. Subsequently, there was a time when the fees were also revised upwards in the year 2014-15 in view of the declining revenue.

2.3. The last such exercise of calibrating the fees was undertaken in the year **2016-17**, by a Committee. Based on the recommendation of the Committee, the Board in its meeting held on January 14, 2017, decided to:

2.3.1. **Reduce** the fees payable by broker by 25%, i.e. from Rs.20/- per crore of turnover to Rs.15/- per crore of turnover.

2.3.2. **Align** the fees payable under SEBI (Buy-back of Securities) Regulations, 1998 with the fee payable under SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.

2.3.3. **Introduce** filing fee for draft scheme of arrangement and processing fee for application seeking relaxation under Regulation 113 of SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009.

2.3.4. **Revise** the fee charged under Regulation 11 of the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 to Rs.5.00 lakhs from Rs.3.00 lakhs.

2.4. The Committee further had suggested in its report that next such exercise may be undertaken in the year 2018-19. Accordingly an internal Committee, CRFR (Committee on Rationalization of Financial Resources), was constituted on November 12, 2018, to review the fees levied by SEBI.

3. Collection of inputs from Departments

3.1. The Committee invited revenue projections and expenditure proposals from all the departments/divisions of SEBI for next three years i.e. FY 2019-20, FY 2020-21 and FY 2021-22.

3.2. . The committee based its projections on the following assumptions :-

3.2.1. The fee income is estimated on the basis of income proposals received from the Departments at existing fee level.

3.2.2. The revenue expenditure have been projected based on the expenditure estimates received from the departments/divisions and inputs from HRD on recruitment and training purposes.

- Establishment Expenditure has been projected based on the projected recruitment of 120 employees each during next three year; Salary revision which has become due from the year 2017 has been considered at 25% rise from 2018-19 onwards and an average increase of 10% p.a. in the salary (as per HRD) for FY 2020-21 and FY 2021-22.

With the ever increasing regulatory expectations and the human resource allocation for this purpose, the Committee noted that the trend of increase in establishment expenditure would continue.

3.2.3. Other administrative expenses have been projected considering inflation and Y-O-Y growth rate of 10%.

3.2.4. The estimations of capital expenditure have been done on the basis of estimates received from departments like FMD, ITD, HRD etc.

Rs. In Crores

F.Y. 2019-20	F.Y.2020-21	F.Y.2021-22
345.70	191.34	145.04

3.3. Based on the above criteria, the proposed Income and Expenditure for the next three F.Y. is given at **Annexure I**.

3.4. The Committee noted that the expected revenue (fee) sources proposed by the departments will be adequate for meeting projected revenue expenditure, but may not be sufficient to meet the capital expenditure proposed in next three years for which the interest income to be earned from the corpus shall have to applied.

3.5. The Committee also observed that as a principle, to meet major capital expenditures, deferred/staggered prudential planning be adopted so as to achieve the optimum corpus levels.

3.6. The Committee held focused discussions with respect to the proposals received from different departments to assess the consolidated projection of income from fees and interest vis-à-vis projected expenditure, so that the fee calibration can be examined suitably.

4. Deliberation by the Committee:

The Committee took the following factors into account while deliberating on calibration of fees:-

4.1. Interest income will noticeably decline in the coming three years.

4.2. SEBI is expected to recruit more than 100 employees each during the next three years for increased regulatory role and various initiatives.

4.3. Expenditure on infrastructure, manpower and projects which is likely to be incurred in the coming three years as highlighted in earlier paras.

4.4. The exercise for fees rationalization should achieve a balance between the revenue (fee receipts) vis-à-vis Capital & Revenue expenditure and at the same time positively impacts the market participants.

4.5. Apart from the above, the following new policy initiatives which are proposed to be implemented in coming years were also considered :-

4.5.1. IT initiatives in the field of Market protection, Market supervision and development, Market evolution, cyber security, enhancement of IT infrastructure, development of SEBI's data center and SEBI's internal cloud and regular third party annual system and process audits etc. which are under implementation.

4.5.2. Infrastructural augmentation in form of newly acquired SEBI premises at Mumbai, New Delhi and Ahmedabad involving large scale renovations requiring additional Capital Expenditure which will require deployment of substantial maintenance & technical staff and outsource agencies.

5. Recommendations of the Committee:

5.1. After due deliberation, the Committee recommended that, **for the present**, the rationalization/reduction of fees can be achieved by:

5.1.1. **Reducing** the broker turnover fee (other than Debt Securities & Agri Commodity Derivative) from current Rs.15/- per crore to Rs. 10/- per crore.

Impact Assessment:

The above proposal is expected to result in immediate reduction of broker turnover fee to the tune of Rs.###¹ crore (approx.) for the F.Y. 2019-20, the benefit of which will be passed on by brokers to the investors. Similar relief will continue to be passed on to the investors in subsequent years, the quantum of which will vary depending on the market turnover.

5.1.2. **Reducing** the broker turnover fees for Agri-Commodity derivatives from current Rs.15/- per crore to Rs. 1/- per crore.

Impact Assessment:

¹ (This portion has been excised for the reasons of confidentiality)

The above fee proposal is likely to result into immediate reduction of broker turnover fee in Agri commodity derivatives to tune of Rs.###² crore (approx.) for F.Y 2019-20, the benefit of which will be passed on by brokers to the investors in agri commodity derivatives. Similar relief will continue to be passed on to the investors in subsequent years, the quantum of which will vary depending on the market turnover.

5.1.3.Reducing the fees in case of the Issues re-filed within 1 year from the date of expiration of observation letter **by 50%** from the current fee levels. This facility will not be extended for further refiling, once availed.

Impact Assessment:

The above fee proposal may result into immediate income reduction of SEBI to the tune of Rs.###³ crore for FY 2019-20.

5.1.4.Reducing the regulatory fees payable by Stock Exchanges from Slab rate of 0.00006% (Rs. 6/- per crore) chargeable on more than Rs.10 lakh crore of turn-over (other than on turnover in Agriculture Commodity Derivatives Segment) to 0.000012% (Rs. 1.20 per crore) without any upper ceiling(for turnover other than on turnover in Agriculture Commodity Derivatives Segment).

Impact Assessment:

The above fee proposal may result in decrease of regulatory fees collection from exchanges to tune of Rs ###⁴ crores in FY 2019-20. The Stock Exchanges with lower turnover will pay less regulatory fees in comparison to Stock Exchanges with higher turnover which will pay higher fees depending on their turnovers due to removal of upper ceiling.

5.2.The proposals for the fees calibration have been detailed out in Annexure II.

² (This portion has been excised for the reasons of confidentiality)

³ (This portion has been excised for the reasons of confidentiality)

⁴ (This portion has been excised for the reasons of confidentiality)

5.3. The revised projection of Income and Expenditure for 3 financial years based on the above proposal are given at **Annexure III**.

5.4. The overall impact of the above proposal on the fees income for the next three F.Y. 2019-20, 2020-21 & 2021-22 is presented at **Annexure IV**.

6. The Board is requested to consider and approve the proposals recommended by the Committee (CRFR) as mentioned at para 5 above and authorize the Chairman to take consequential and incidental steps (including amendments to various regulations) to give effect to the decisions of the Board.

“Annexure I to V”

(These portions have been excised for the reasons of confidentiality).